tools and features to semi-annual reports that appear on a website or are otherwise provided electronically, and (3) require a semi-annual report to include a link or some other means of immediately accessing information referenced in the report that is available online.[383]

We request comment generally on the proposed instructions regarding funds' electronic semi-annual reports, and specifically on the following issues:

132. Are the proposed instructions regarding funds' electronic semi-annual reports appropriate? Should any of those instructions be modified or should any other revisions be made to the Commission's proposal with regard to electronic shareholder reports, in order to better reflect investor preferences or to encourage the use of electronic shareholder reports by funds?

b. Alternatives Involving Electronic Semi-Annual Reports

Currently, funds are required to transmit semi-annual reports to shareholders, and—as with annual reports—they will be able to satisfy this requirement in certain cases under rule 30e-3 by posting the report (and certain other required materials) online and providing a notice of the reports' online availability.[384] We considered proposing alternative requirements for transmitting semi-annual reports. For example, we considered allowing funds to satisfy the requirement to transmit semi-annual reports by filing certain information on Form N-CSR. Also, in light of current internet use trends, we considered allowing funds to satisfy the

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383 *Id*.

384 *See supra* footnote 22 and accompanying text. The Commission has previously interpreted the meaning of "transmit" in this context. *See* discussion of previous Commission guidance on the use of electronic media for delivery purposes, *supra* footnote 21.

requirement to transmit a semi-annual report by updating certain information on a fund website either semi-annually or on some more-frequent basis.

For example, we understand that many funds currently publish monthly or quarterly fact sheets online.[385] These fact sheets tend to include much of the information that would appear in the proposed requirements for funds' semi-annual reports, and often present such information in a concise format that may be appealing to investors. We understand that some shareholders or financial professionals may use fact sheets to monitor fund investments because, among other reasons, fact sheets include more up-to-date performance information than shareholder reports or prospectuses. While we are not proposing an approach in which a fund's obligation to transmit semi-annual reports would be deemed to be satisfied if the fund were to merely post updated fact sheets (or similar documents) online on a semi-annual or more-frequent basis, we are soliciting comment on potential disclosure alternatives that would leverage information that many funds already provide on their websites.

An approach that would leverage frequently updated website content, such as fund fact sheets, raises the consideration of how frequently required regulatory disclosures should ideally be provided to fund shareholders. Our proposed semi-annual report requirement parallels current requirements with regard to the frequency of shareholder reports, which are statutorily mandated to be transmitted on a semi-annual basis.[386] We are currently unaware of any evidence indicating that fund investors specifically desire shareholder reports to be

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385 *See generally supra* text following footnote 23.

386 *See* section 30(e) of the Investment Company Act.

provided less frequently.[387] The proposed approach also reflects our view that the proposed amendments to the contents of annual and semi-annual reports represent the information that would be most useful and salient to investors in assessing and monitoring their fund investments.

More generally, we considered the effects and benefits of a disclosure framework in which fund shareholders have regulatory information "pushed" to them on a semi-annual basis (*e.g.*, the required direct transmission of shareholder reports twice a year) versus a hypothetical disclosure framework in which fund shareholders would have the onus to periodically "pull" regulatory disclosures from various sources (*e.g.*, information that is periodically updated on a fund website).[388] We are concerned that such a hypothetical disclosure framework would represent a significant change in current practices. We are also concerned that a "pull"-only disclosure framework may not be aligned with investor preferences. Although we understand that some investors prefer receiving fund disclosure electronically (*e.g.*, through email, mobile application, or website availability), we do not have evidence that these investors would prefer a disclosure approach in which they would receive

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387 *See, e.g.,* Broadridge Comment Letter II. *See also* ICI Comment Letter I (asserting that a streamlined shareholder report should be required on the same semi-annual frequency as the current shareholder report). *But see supra* footnotes 54 to 55 and accompanying text (discussing some investors' concerns about the volume and frequency of fund disclosure materials they currently receive).

388 For example, rule 30e-3 could be understood as a hybrid "push/pull" disclosure framework in which notices are pushed out to investors to notify them that shareholders reports have been posted online and are available to be pulled down. *See* rule 30e-3(c). In addition, rule 30e-3 allows shareholders to elect to remain in a pure "push" disclosure framework in which those shareholders will continue to have shareholder reports directly delivered to them. *See* rule 30e-3(f).

no notification that updated disclosures are available.[389] We recognize that a hypothetical disclosure framework could require funds to "push" to investors a short notice that updated information is available online, similar to the current approach under rule 30e-3. However, rule 30e-3 contemplates notices being provided semi-annually. To the extent that, under the hypothetical disclosure framework, funds would update their online materials more frequently than semi-annually, providing notices each time that online materials were updated could be costly and could dissuade funds from updating these materials. Moreover, we understand that some investors generally prefer to receive at least certain fund information in paper format.[390] We recognize that there are other possible permutations of these disclosure approaches (for example, providing a notice of updated online information only semi-annually or permitting a fund to rely on rule 30e-3 with respect to the requirement to provide semi-annual reports, while continuing to require funds to provide annual reports directly to shareholders), and we request comment on these possible approaches below.

In addition, potential regulatory challenges and unintended consequences could result from such a hypothetical disclosure framework. For example, as discussed below, we seek comment regarding the extent to which this hypothetical framework could result in a bifurcated disclosure system. That is, we ask about the effects on fund investors if certain funds would no longer transmit semi-annual reports directly and instead would update information posted online, while other funds would continue to transmit semi-annual reports directly.

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389 *See supra* footnote 70 and accompanying text.

390 *See supra* footnotes 71 and 72 and accompanying text.

We request comment generally on the alternatives to the proposed semi-annual report transmission requirement that we considered, and specifically on the following issues:

133. Should the Commission require the direct transmission of semi-annual reports, as proposed? Alternatively, should the Commission adopt different conditions for satisfying this transmission requirement? For example, should funds be permitted to satisfy this requirement by filing certain information on Form N-CSR, pursuant to certain conditions? If so, what information should be filed, and what conditions would be appropriate? As another example, under the proposal, funds registered on Form N-1A would no longer be permitted to rely on rule 30e-3 to satisfy annual and semi-annual report transmission requirements.[391] Should we instead continue to permit these funds to rely on rule 30e-3 as an alternative method of transmitting their semi-annual reports (while, as proposed, no longer permitting them to rely on the rule with respect to annual reports)? What evidence is there (for example, of investor preferences) to support different transmission requirements for semi-annual reports versus annual reports?

134. As a further alternative, would it be appropriate for the Commission to permit funds to satisfy their obligations to transmit semi-annual reports by updating certain information that appears on their websites (for example, updating a fund fact sheet), either semi-annually or on some more frequent basis? If so, what frequency and which information would be appropriate? Would it be appropriate to require a fund's website to include all of the information that we are proposing that funds include in their semi-annual reports, a subset of this information, or different information? To what extent should the Commission specify the

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[391] *See infra* Section II.G.

content, presentation, and/or accessibility requirements for such information, and what should these requirements be? How, if at all, should funds be required to inform shareholders that updated information is available on their websites? Should there be any other conditions for a fund to be able to satisfy its semi-annual report transmission obligations in this way, and if so what should they be? To what extent should the Commission consider or address the fact that, pursuant to rule 482 under the Securities Act, fact sheets and other information that funds make available online are generally considered to be omitting prospectuses, and are thus subject to prospectus liability that does not apply to shareholder reports? Should information that funds make available online under this alternative be required to be filed with the Commission? To what extent would this alternative approach result in a bifurcated disclosure system, as described above? What would be the effects on investors and those who wish to review semi-annual reports, if semi-annual reports were only prepared by some, but not all, funds? Would this alternative be aligned with investor preferences for fund shareholder report disclosure? Would it otherwise raise any investor protection concerns, and if so, what concerns?

135. Are there any further alternatives the Commission should consider with regard to semi-annual reports specifically, or reports that the fund would transmit on an other-than-annual basis generally? To what extent should any of these alternatives provide special consideration for electronic shareholder reports?

D. New Form N-CSR and Website Availability Requirements

We are proposing to amend Form N-CSR and rule 30e-1 to implement our proposed layered disclosure framework.

We are proposing to require funds to continue to file certain information, which is currently included in fund shareholder reports, on Form N-CSR.[392] Section 30 of the Investment Company Act requires funds to file their shareholder reports, including certain information that must appear in their reports, with the Commission.[393] Because we are proposing a framework in which certain information would no longer appear in funds' shareholder reports, we are proposing amendments to Form N-CSR that would create new filing requirements for this information in order to continue to require funds to file the information with the Commission.

This Form N-CSR filing requirement would further the proposed layered disclosure framework by making available a broader set of fund information than the information that appears in funds' annual and semi-annual reports. The information that would be filed on Form N-CSR is less retail-focused than the information that would appear in funds' annual and semi-annual reports, but as detailed below we believe that retaining the availability of this information would be important for investors who desire more in-depth information, financial professionals, and other market participants. The information included on Form N-CSR also would continue to provide shareholders and other market participants with access to historical, immutable data regarding the fund on EDGAR. This historical information also would facilitate the Commission's fund monitoring responsibilities and could create significant efficiencies in the location of information for data gathering, search, and alert functions used in those monitoring activities. For example, filing on EDGAR facilitates the financial statement reviews that section 408 of the Sarbanes-Oxley Act of 2002 mandates. Additionally,

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392 *See* proposed Items 7 through 11 of Form N-CSR.

393 *See* Investment Company Act sections 30(a), 30(e); *see also infra* Table 4.

because Form N-CSR is filed with the Commission on EDGAR, a fund can incorporate by reference information that is disclosed on Form N-CSR, including the fund's financial statements, into a fund's registration statement, subject to certain limitations.[394] Finally, a fund's principal executive and financial officer(s) are required to certify the financial and other information included on Form N-CSR, and are subject to liability for material misstatements or omissions on Form N-CSR.[395]

The amendments that we are proposing to rule 30e-1 would require funds to make available on their website the information that they would newly have to file on Form N-CSR, and to deliver such information upon request, free of charge.[396] These proposed website availability requirements are designed to provide ready access to this information for shareholders who find this information pertinent. The proposed requirements also would assist

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394 *See* rule 0-4 under the Investment Company Act [17 CFR 270.0-4] (additional rules on incorporation by reference for funds); rule 411 under the Securities Act [17 CFR 230.411] (general rules on incorporation by reference in a prospectus); rule 303 of Regulation S-T [17 CFR 232.303] (specific requirements for electronically filed documents); General Instruction D to Form N-1A.

395 *See* rule 30a-2 under the Investment Company Act [17 CFR 270.30a-2] and Item 13(a)(2) of Form N-CSR; *see also* Certification of Disclosure in Companies' Quarterly and Annual Reports, Investment Company Act Release No. 25722 (Aug. 28, 2002) [67 FR 57275 (Sept. 09, 2002)].

The Sarbanes-Oxley Act of 2002, Pub. L. 107-204, 116 Stat. 745 (2002) (the "Sarbanes-Oxley Act") requires the principal executive and principal financial officer of most management investment companies to provide two different certifications in their periodic reports. Section 302 of the Sarbanes-Oxley Act requires a certification that, among other things, relates to the accuracy of the information included in the N-CSR filing. Section 906 of the Sarbanes-Oxley Act added new Section 1350 to Title 18 of the United States Code, which requires a certification that, among other things, represents that the N-CSR filing fairly presents, in all material respects, the fund's financial condition and results of operations, and is subject to specific Federal criminal provisions.

396 *See* proposed rule 30e-1(b)(2) (funds would be required to post online Items 7 through 11 of Form N-CSR as well as the fund's complete portfolio holdings, if any, as of the close of the company's most recent first and third fiscal quarters).

those investors who find it most convenient to locate fund materials on a website that is not EDGAR.

The following table outlines the content that we propose to require funds to include in their Form N-CSR filings and make available online. This content is currently included in a fund's annual and semi-annual reports.

Table 4. Outline of Proposed New Form N-CSR and Website Availability Requirements

Description (and Related Statutory Requirement)	*Current Rule and Form Requirement(s) for Shareholder Report Disclosure (If Any)*	*Proposed New Disclosure Items for Filing on SEC Forms*	*Proposed Website Availability Requirements*
Financial statements for funds *(required by section 30(e) of the Investment Company Act)*	Items 27(b)(1) and 27(c)(1) of Form N-1A	Proposed Item 7(a) of Form N-CSR	Proposed rule 30e-1(b)(2)(i)
Financial highlights for funds	Items 27(b)(2) and 27(c)(2) of Form N-1A	Proposed Item 7(b) of Form N-CSR	Proposed rule 30e-1(b)(2)(i)
Remuneration paid to directors, officers and others of funds *(required by section 30(e) of the Investment Company Act)*	Items 27(b)(3) and 27(c)(3) of Form N-1A	Proposed Item 10 of Form N-CSR	Proposed rule 30e-1(b)(2)(i)
Changes in and disagreement with accountants for funds	Items 27(b)(4) and 27(c)(4) of Form N-1A; Item 304 of Regulation S-K	Proposed Item 8 of Form N-CSR	Proposed rule 30e-1(b)(2)(i)
Matters submitted to fund shareholders for a vote	Rule 30e-1(b)	Proposed Item 9 of Form N-CSR	Proposed rule 30e-1(b)(2)(i)

Statement regarding the basis for the board's approval of investment advisory contract	Item 27(d)(6) of Form N-1A	Proposed Item 11 of Form N-CSR	Proposed rule 30e-1(b)(2)(i)
Complete portfolio holdings as of the close of the fund's most recent first and third fiscal quarters	Currently required in Part F of Form N-PORT. Also website availability of this information currently required for funds relying on rule 30e-3.	N/A	Proposed rule 30e-1(b)(2)(ii)

1. Proposed Form N-CSR Filing Requirements

a. Financial Statements

We are proposing to require a fund to file its most recent complete annual or semi-annual financial statements on Form N-CSR, and provide certain data points from the financial statements in its annual and semi-annual reports, in lieu of including the fund's complete financial statements in its shareholder reports.[397] Consistent with current requirements, the fund's annual financial statements would be audited and accompanied by any associated accountant's report, while the semi-annual financial statements need not be audited.

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[397] *See* proposed Item 7(a) of Form N-CSR; *see also supra* footnotes 198 through 211 and accompanying text (discussing the proposed requirement to include a graphical representation of a fund's holdings in the shareholder report).